

DOCUMENT CONTROL

Legal Redline Summary — MSA v4.2

Negotiation memo showing partial movement by the vendor and unresolved residual risk.

Document ID	LEG-001
Prepared By	James Park, Privacy Counsel
Prepared For	Maria Santos, VP Procurement
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Status	Open / partial vendor movement

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Summary

This memo captures Meridian's negotiation position against **Master Service Agreement v4.2**. The vendor moved on several commercial points after the first review cycle, but the package remains unsuitable for execution without additional changes.

Clause-by-Clause Redline Status

Clause Area	Vendor Draft 4.2	Meridian Baseline	Latest Vendor Reply	Residual Risk
Liability Cap	Unlimited liability for both parties.	General cap at 2× annual value.	Vendor proposed cap at 12 months of fees paid; Meridian position not accepted.	Critical
Termination Notice	90 days before auto-renewal.	30 days before renewal.	Vendor accepted 30-day notice for future drafts.	Low
Derivative IP	Joint ownership of derivatives and improvements.	Customer retains derivative IP.	Vendor accepted Meridian language, subject to final scrub.	Low
Cross-Border Transfers	No residency commitment; SCCs deferred.	EEA residency or SCC Appendix C.	Vendor agreed to attach SCC Appendix C; draft not yet executed.	Medium
Incident Notice	Commercially reasonable efforts only.	24 hours for critical customer-data incidents.	Vendor countered with 72 hours after confirmation.	High

Hard-case behavior: the vendor accepted some improvements, but the liability and incident-notification positions remain materially weaker than Meridian's baseline. This document should not be treated as a clean approval.

Recommendation

- Do not execute the package until liability is capped and incident-notification timing is clarified.

- If business timing requires pilot launch, isolate the launch under a written risk acceptance tied only to uptime during the pilot window; do not waive liability or transfer-mechanism gaps.
- Use this document together with the approved baseline and the current SLA when generating comparison decks or executive recommendations.